RISK MODIFICATION: PREVENTION, AVOIDANCE, AND ACCEPTANCE

Learning Outcome

- describe methods for measuring and modifying risk exposures and factors to consider in choosing among the methods

The notion of risk modification presumes that an analysis has been conducted in the risk governance stage that defines how much risk is acceptable. Coupled with measurements of the actual risk, as discussed in the previous section, the risk manager then proceeds to align the actual risk with the acceptable risk.

It is important to understand, however, that risk modification is not strictly risk reduction. For example, a portfolio with the strategic objective of maintaining a 50/50 split between equity and cash will naturally find that in a market in which cash outperforms equity, the split between equity and cash will tilt toward cash. Thus, the portfolio becomes less risky. Beyond a certain point, the risk of the portfolio is unacceptably low given the return target. Thus, risk modification would take the form of rebalancing by increasing the risk. For the most part, however, risk management focuses more on reducing the risk. Risk reduction is commonly referred to as hedging. A hedge is a transaction put in place to reduce risk. Some hedges are designed to lead to the ultimate in risk reduction—the complete elimination of risk. Others are simply designed to lower the risk to an acceptable level.[24] For some companies, risk management is primarily concerned with keeping the organization solvent. Regardless of the focus, much of what is done to manage risk is the same. In this section, we will examine four broad categories of risk modification: risk prevention and avoidance, risk acceptance, risk transfer, and risk shifting.

Risk Prevention and Avoidance

One method of managing risk is taking steps to avoid it altogether; however, avoiding risk may not be as simple as it appears. It is difficult to completely avoid risk, but more importantly, it is unclear that every risk should be completely avoided particularly if there are high costs associated with eliminating the risk. Instead we choose a trade-off between cost and benefits. The actual trade-off may be subject to debate because risk assessment and risk management are subject to variation from one person to another.

We could nearly eliminate the risk of being injured or killed in an automobile accident if we choose to never drive or ride in a car. Like any risk-avoidance strategy, however, there would more than likely be a trade-off in terms of the loss of the benefits provided by the activity. We could try to protect our children from all harm, but that may come at the expense of preparing them poorly for adult life. We could invest our entire retirement savings in cash, but would most likely give up protection against inflation and lose out on the opportunity to benefit from long-term economic growth and the performance of investable assets that benefit from that growth.

Insurance companies rely heavily on the techniques of risk prevention and avoidance. An automobile insurance company would prefer that their policyholders never drive their cars. Although it cannot prohibit them from doing so, it can reward them with lower premiums if they drive less and have safe driving records. A life insurance company would prefer that their policyholders do not smoke, and it can reward non-smokers with lower rates.

Nearly every risk we take has an upside, at least as perceived by the person taking the risk. Some counterexamples might seem to belie this point, but not if viewed from the point of view of the risk taker. One could argue that there are no benefits from smoking, but people who smoke may have the opinion that the pleasure they receive exceeds the costs.

benefits obtained by participants, and yet participants engage in them with apparently much enjoyment. People undertake all types of risky behaviors because they obtain commensurate benefits. These examples are simply cases in which the decision maker chooses to bear a certain degree of risk. They are conceptually the same as an investor who chooses to accept a relatively high degree of risk. Likewise, those who live their lives engaging in very few risky activities are conceptually the same as the investor who keeps only a modest exposure to risky assets.

In organizations, the decision to avoid risk is generally made at the governance level as a part of setting the risk tolerance. Boards will often decide that there are some business or investment activities simply not worth pursuing based on either the goals of the organization or the perceived risk–return trade-off. These are strategic decisions. Boards may exclude some areas or activities to allow management to focus on choosing risks in other areas where they presumably have a better chance of adding value.

We recap this section by noting that risk prevention and avoidance is simply an element of the decision of how much risk to accept, given the trade-off between the risk of loss and the benefit of gain. This could be a direct benefit or an indirect benefit of avoiding or eliminating a risk. Most decisions in life involve a trade-off between benefits and costs, neither of which is necessarily easy to measure. Thus, risk management is an ongoing process of fine-tuning exposure to achieve the level of risk that is desired in relation to the benefits.

If the risk measurement process shows that the risk exceeds the acceptable level, there are three approaches to managing the risk: self-insuring, risk transfer, and risk shifting.

Risk Acceptance: Self-Insurance and Diversification

In many cases, from both a risk tolerance and a strategic standpoint, it makes sense to keep a risk exposure—but to do so in the most efficient manner possible. Self-insurance is the notion of bearing a risk that is considered undesirable but too costly to eliminate by external means. In some cases, self-insuring means simply to bear the risk. In other cases, it may involve the establishment of a reserve to cover losses. Choosing to not have health insurance can be an optimal choice for some young, healthy adults without responsibility for children. Setting aside some money to cover potential health costs completes the picture of an individual who completely self-insures. Similarly, a young healthy individual who does not buy life insurance but engages in a systematic, well-conceived savings and investment plan is engaging in self-insurance.

One must be careful with this approach, however, because there is a fine line between self-insurance and denial. To the extent that self-insurance results in risks that are completely in line with the enterprise's risk tolerance, it would be an example of good governance. But if there is a risk that is outside the enterprise's risk tolerance, and management decides to bear that risk anyway, saying it is self-insuring, management is basically ignoring that risk, disregarding and violating its risk tolerance, and practicing bad risk governance. For example, an investment management firm, via its risk tolerance decision, may decide that it cannot bear any investment loss exceeding €1 billion and may apply a variety of risk management tools to limit its market and credit risk accordingly. But suppose that the firm makes no move to limit or insure its risks from fraud or a rogue trader on the grounds that it is "self-insuring" this risk, which could result in a loss as high as €3 billion. By leaving itself open to a loss that far exceeds its stated risk tolerance, management is violating the firm's risk governance.

From the perspective of a business organization, self-insurance is obtained by setting aside sufficient capital to cover losses. The banking industry is a classic example of self-insurance. Although in many countries government insurance may protect depositors, banks self-insure to some extent by maintaining capital and loan loss reserves.

of diversification seems the obvious thing for all organizations to pursue—a starting point at which other risk modification could be appended. Although diversification is one form of risk management, it is usually not effective if used in isolation.

In the next two subsections, we discuss how undesired risk can be modified or eliminated by selling the risk to another party. We make two subtle classifications of these methods: risk transfer and risk shifting.

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